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MAKE TRADE FAIR ALLIANCE

Rationalizing Labor Relations in the Garment Industry

Hameeda Hossain

The export-oriented garment industry is projected as a major success story for Bangladesh. Indeed its growth figures over the last twenty years or so give strong evidence of its contribution to the national economy. From two factories in the mid-eighties the industry has grown to 4,250 factories, which manufacture both woven and knitwear apparel items. In 2005-06, Bangladesh earned $ 7.9 billion from RMG exports which constituted 75 per cent of its total export of $ 10.5 billion, according to the BGMEA website. BGMEA also takes pride in saying that it has created employment for about two million workers, of which 80 per cent are women. In addition, another million are engaged in textiles and accessory industries (yarn, button, carton, etc.).

Most of the RMG factories are concentrated in Dhaka, Chittagong, Gazipur and Narayanganj districts. This means that the industry has acted as a pull factor for rural urban migration of young women. To look at it from another lens, the young women we see every morning walking in groups over long distances to reach their factories have contributed to Bangladesh's foreign exchange earnings and have put Bangladesh on the global trade map.

And what have been their gains? Their work supports their families in the villages. Of course, they have become the urban proletariat, skilled and hard working. In 1993, the Minimum Wage Board formed by the government fixed their minimum wages at Tk 930. Although prices have sky rocketed their minimum wages had not been reviewed for over 13 years. They may not know it, but under the law, they are to receive regular overtime, be given proof of employment, they are entitled to a weekly holiday, childcare facilities, sanitary arrangements, and safety conditions particularly to prevent fire and other accidents. But of course, these are illusions because most factories know they can evade the weak regulatory system set up by the Labor Department. They can also readily draw upon a surplus labor and women's docility not to give in to workers' demands. Trade unions that could engage in collective bargaining have not been allowed to function.

For many years now workers have been raising fairly logical demands. In factories outside EPZ areas, their demands have included increase of wages, reduction of working hours, weekly holiday, maternity leave, etc. In the EPZ, workers have demanded a stop to harassment by guards and supervisors, wage payment pegged to the dollar, provision of provident fund and gratuity, attendance bonus, allowances for snacks, medical allowance and conveyance, 8-hour workday, doubling of overtime wages, etc.

The industry has continued to ignore their demands. Even when agreements were reached with workers, factories forgot to implement them. Since 1990, there have been 24 incidents of fire in garment factories that were reported in the media. This clearly showed that fire and safety regulations were not being observed. In 1997, in fact, the High Court held the factories and government responsible for non-compliance with the laws. Yet the industry took no action to discipline its members. Nor did the government monitor and punish the defaulters.

It was only after the fire in Chittagong's KTS factory in 2005, that BGMEA inspection teams inspected 1,517 factories (in April and May), in which they found emergency exits closed in 23 factories and fire exits and staircases blocked with goods or equipment in another two. They imposed a fine of Tk 10,000 each on 21 non-compliant factories. They also inspected 40 factories and witnessed mock fire drills in 38 factories in Chittagong. But these exercises have to be conducted on a regular basis to make the entire industry safe and secure.

But in May 2006 worker discontent was sparked because knitwear factories reversed the system of settling piece rate payment at the start of production. The worker was paid after completion of a job, and s/he was not informed of the payment. As worker's demos spilled into May-June from factories in Ghazipur, Ashulia, Savar and Dhaka, few attempts were made to address the systemic problems of the industry. Instead, unnecessary violence was triggered as security forces were called in, leading to arrest and casualties of many workers and damage to factories.

Consequently BGMEA-BKMEA and the government held tripartite meetings with the workers and signed an agreement.

In September, the Minimum Wage Board announced a new pay scale starting from Taka 1,620.50, which was rejected by several workers' organizations. And not all factories were willing to abide by it. There has been a slowing down in implementation of other agreements and the workers remain frustrated. While BGMEA members may be busy lobbying in Washington, or demanding loans and other facilities from the government, the need to build healthy labor relations is essential for the continued success of this industry. It is therefore urgent that the working environment in the factories be made more worker-friendly and safe and that in addition to maintaining their legal rights, workers' needs for housing and transport must be addressed. The use of force to control workers cannot in the long run contribute to healthy working relations nor to industrial peace.

Hameeda Hossain
Convenor, Workers Safety Forum